

Questions:

What does being short/long a position mean?
What is curve shift?
What affects curve shift?
What are the basic components of a P&L?
What is a swap?
What are different types of swaps?
What is basis?
What is MTM value?
What is Accrual value?
What do you consider stress in the workplace? How do you handle stress?
Examples of a stressful situation?
What do you consider long work hours?

Some aren't technical. I don't have any problem solving questions.

DG

----- Forwarded by Darron C Giron/HOU/ECT on 12/27/2000
11:15 AM -----

From: William Kelly 12/27/2000 11:00 AM

To: Jeffrey C Gossett/HOU/ECT@ECT
cc: David Baumbach/HOU/ECT@ECT, Darron C Giron/HOU/ECT@ECT, Kam
Keiser/HOU/ECT@ECT, Errol McLaughlin/Corp/Enron@ENRON
Subject: Technical Questions

I also do not have many tech questions. I look for trainability as well.

My questions:

-What do you know about the commodities market?
-Do you do any online trading, if so what, and why - looking for trading of
options, stocks, futs, etc for more difficult follow-up questions like
why options, not buy/sell the underlying. How do you determine what to
trade and when, how long do you hold it. Also looking for how often they
play on the internet and whether they do it at work.
-What do you know about the industry? How many units in a contract? How do
you hedge physical gas? Financial positions?
-What is V@R? Not looking for a technical answer, just if they are familiar
with the concept? What other trading controls do they expect to be in place?
-How well do you handle ridicule? (Always looking for a certain central
trader's new lackey)
-How well versed are you in Excel? What have you done where you are using
excel to improve your work product? How did you learn it? Have you shared
it with anyone else? What other improvements have you made? Would you give
me a name of a person I could verify the impact this has had in your current
organization? (I don't ever call, I just am looking to see if there answer
is the truth and what kind of ego they have)

-Further educational goals? MBA, CFA, - looking for goals and motivators.
-Are you easily incited to violence?

WK

----- Forwarded by William Kelly/HOU/ECT on 12/27/2000 10:42
AM -----

Enron Capital Management

From: David Baumbach 12/27/2000 09:49 AM

To: Jeffrey C Gossett/HOU/ECT@ECT

cc: Kam Keiser/HOU/ECT@ECT, William Kelly/HOU/ECT@ECT, Darron C
Giron/HOU/ECT@ECT, Errol McLaughlin/Corp/Enron@ENRON

Subject: Technical Questions

I do not have very many technical questions but here are the few that I have
used:

- Do you understand what curveshift is? If so ... Price today was \$10.20 and
yesterday it was \$10.13 ... what was my curveshift?
- What makes up a P&L statement?
- What is MTM accounting? accrual accounting?
- If they have knowledge of options, what is a delta position?

I guess these are more general analytical questions:

- Give me an example of a problem you've had and how you solved it?
- The "eight ball" question (basic problem solving)
- The "light switch" question (advanced problem solving)

When I interview I am looking for trainability, better than average problem
solving skills and a desire to work in this environment. If the candidate
has these skills then I believe we can teach them what they need to know. I
also think it is candidates with these basic attributes that are a better fit
for us. They know they don't know everything (about Risk) and work hard to
get up to speed.

Dave